

Perhaps the most critical feature of a pipe bottom is what happens in the third week. While you can easily spot two adjacent downward price spikes, toss the pipe aside if price does not rise the third week. The third week, the week following the second pipe spike, should leave a well-defined dual spike visible on the price chart. The 4-week pair (which includes the weeks before and after the pipe) is V shaped and is even clearer when combined with a downward price trend.

Table 49.1 Identification Guidelines

Characteristic	Discussion
Appearance	Look for price to form a twin spike bottom, one that drops well below the surrounding weeks.
Weekly chart	Pipe bottoms on the daily price chart exist, but pipes on the weekly charts perform better. Use the weekly chart.
Two downward adjacent spikes	Locate two downward price spikes that are next to each other.
Large spikes	The price spikes should be unusually tall in the pipe, taller than most downward spikes during the year. The pipe should stand alone as the prior week and the following week have low prices that are near the pipe highs.
Large overlap	The 2 weeks composing the pipe should have a large price overlap between them.
Volume	Not a prerequisite, but most pipes show above-average volume on at least one or both spikes.
Obvious pipe	The pipe should be obvious on the chart, otherwise look elsewhere. The best performing pipes appear at the end of downtrends.
Breakout direction, confirmation	Price must close above the top of the tallest spike to break out. The pattern confirms as a valid pipe bottom when it breaks out upward. If price closes below the lower of the two spikes first, then it's not a pipe bottom.